3.5.1 Financial objectives

Unit 3.5 Financial management · 6 key points

- **Financial objectives named by AQA:** revenue, costs, profit, cash flow, investment (capital expenditure) levels, capital structure
- **Return on investment (ROI):** profit from investment ÷ cost of investment × 100
- **Capital expenditure:** spending on non-current assets such as machinery
- **Capital structure:** the mix of debt and equity used to finance the business
- **Value:** give a target to aim for and a way to judge performance
- **Influences:** corporate objectives, the economy, competition, shareholders